DIPLOMA PROGRAMME PRACTICE / HL / SET B

Economics / Paper 1

Question booklet · 75 minutes · 25 marks

Choose one of the three questions and answer both parts. No calculator is permitted. Use real-world examples in part (b) and fully labelled diagrams where relevant. Write on separate answer paper.

QUESTION 1 / 25 MARKS

Strategic behaviour in an oligopoly

a Explain, using a payoff matrix, how two firms can each have an incentive to cut price even when both would earn more by maintaining a high price. **[10]**

b Using real-world examples, evaluate whether protecting consumers in oligopolistic markets requires government action against collusion. **[15]**

QUESTION 2 / 25 MARKS

Inflation expectations and employment

a Explain why a short-run inverse relationship between inflation and unemployment may break down when expected inflation rises. **[10]**

b Using real-world examples, evaluate the claim that reducing inflation necessarily entails a prolonged increase in unemployment. **[15]**

QUESTION 3 / 25 MARKS

Depreciation and international payments

a Explain how a depreciation can initially worsen the trade balance before improving it, making clear the role of the price elasticities of export and import demand. **[10]**

b Using real-world examples, evaluate whether allowing a currency to depreciate is an effective response to a persistent current-account deficit. **[15]**